PROFITNAIJA

PROPOSED PRODUCT ROADMAP · 7 OCTOBER 2026

Standard accounting. Clear finances at a glance.

Keep transaction entry simple while making every financial statement accurate, connected and explainable. A clear dashboard should summarise dependable statements—not replace them.

> **Status: proposal, not implementation approval.** Creating this document does not change dashboard calculations, business records, billing or the current app interface. Accounting-policy changes and historical adjustments require separate approval.

Phase 1 — Review the accounting and agree the rules

Assess how sales, purchases, inventory, payments, returns, expenses and taxes affect the current reports.

- Identify missing records, inconsistent calculations and assumptions.
- Agree the reporting basis, inventory costing method and opening-balance treatment.
- Keep merchant business accounting separate from ProfitNaija subscriptions and partner/platform earnings.
- Identify historical transactions that cannot be reconstructed reliably.

Deliverable: an agreed accounting specification and correction list, with no business-data changes.

Phase 2 — Establish the accounting foundation

Introduce a chart of accounts and a balanced double-entry ledger behind the existing simple forms. Users should not need to enter debits and credits themselves.

- A credit sale creates customer debt and revenue, with VAT recorded separately.
- A customer payment increases cash and reduces debt—not revenue again.
- An inventory purchase increases stock and reduces cash or creates supplier debt.
- Selling stock recognises its cost and reduces inventory.

Establish a trial balance, links between transactions and accounting entries, duplicate-posting protection and a traceable correction history.

Deliverable: complete, balanced accounting effects for each supported transaction.

Build a complete financial picture

Phase 3 — Complete the missing financial records

Add the records needed to explain what the business owns, owes, earns and actually receives or pays.

- Opening assets, liabilities and owner’s equity.
- Cash and bank accounts, transfers and reconciliation.
- Owner contributions and drawings.
- Loans, principal repayments and interest.
- Fixed assets and depreciation.
- Unpaid expenses and prepayments where needed.
- Actual tax payments and outstanding obligations.
- Explicit cash or credit settlement of returns.

Introduce these progressively rather than overwhelming users with a complicated setup form.

Deliverable: records that support the business’s financial position and actual cash movements.

Phase 4 — Produce connected financial statements

Statement	What it explains
Profit and Loss	Revenue, cost of sales, expenses and profit during the selected period.
Balance Sheet	Assets, liabilities and owner’s equity at the selected date.
Cash Flow	Operating, investing and financing cash movements.
Owner’s Equity movements	Contributions, drawings and accumulated results.

Use one accounting ledger, supported by inventory, customer/supplier balances, fixed-asset and tax schedules.

Required reconciliation checks

- Assets equal liabilities plus equity.
- Opening cash plus net cash movement equals closing cash.
- Inventory and customer/supplier schedules match their ledger balances.
- Dashboard, statements and exports agree.
- Mobile and web use consistent accounting treatment and reporting cutoffs.

CLEAR PRESENTATION → EXPLICIT POLICY DECISIONS

Make the results easy to understand

Phase 5 — Deliver the “at a glance” experience

> **Profit · Cash & Bank · Customer Debt · Supplier Debt · Stock Value · Business Net Assets**

Each figure should show its period or balance date, a plain-language explanation, a breakdown linked to supporting records, and an equivalent previous-period comparison where useful.

Show clear warnings for incomplete records, unreconciled balances or estimates. Profit and cash must remain separate: a profitable business can still struggle to pay its bills.

Deliverable: an understandable financial overview based on dependable statements.

Accounting decisions needing your approval

Existing treatment	Proposed standard treatment
Opening stock is always zero.	Carry inventory balances forward and recognise the cost of goods sold in the appropriate period.
Equipment purchases remain P&L expenses.	Distinguish capital assets from ordinary expenses; recognise depreciation where applicable.
Cash is reconstructed from recorded activity.	Establish explicit opening cash/bank balances and reconcile subsequent movements.
Returns are assumed to have cash settlements.	Distinguish cash refunds, debt reductions, supplier credits and replacement goods.
Supplier WHT is linked to the supplier VAT setting.	Review VAT and withholding applicability separately with a Nigerian accountant.
PIT is the current income-tax model.	Apply the appropriate tax treatment for the business’s legal form.

> **Opening stock is the most important policy issue.** Forcing it to zero can produce negative cost of sales and misleading profit when inventory carries into a later period. Replacing that previously agreed rule needs your approval.

Your VAT-exclusive selling-price convention can remain. Changing accounting treatment does not require changing the prices customers were charged.

Protect the current dashboard and records

The layout does not have to change, but some figures could. Preserve the existing cards, colours, menus and transaction-entry process. Additional information can appear in card details or a separate Financial Overview page.

Dashboard figure	Possible effect of the accounting upgrade
Sales and Revenue	Should remain consistent where current recognition and VAT treatment are correct.
Profit	Could change with proper carried-forward inventory, depreciation and expense timing.
Stock Value	Should reconcile with the inventory ledger; corrections may affect discrepancies.
Cash/Bank	Could change when opening balances and actual settlements are recorded and reconciled.
Customer/Supplier Debt	Could change where returns, credits or adjustments are missing or misclassified.
Tax estimates	Could change after reviewing the applicable business tax treatment.

The biggest likely difference is profit, especially where the current zero-opening-stock rule distorts results across reporting periods.

Safe transition approach

1. Begin with the read-only assessment; leave current dashboard behaviour unchanged.
2. Obtain approval for accounting-policy changes and any historical adjustments.
3. Preserve original transactions and create a recoverable backup before approved data changes.
4. Compare proposed standard statements with current reports before switching displayed figures.
5. Flag unsupported historical balances for review. Never invent missing cash, stock costs or owner capital simply to make statements balance.
6. Review differences, reconcile statements, and verify mobile/web consistency before rollout.

> **Recommended first action: Phase 1.** A read-only accounting-gap assessment establishes a reliable implementation scope without changing the dashboard's appearance, calculations or business records.

A qualified accountant should review the agreed treatment and representative statements before the app is described as standards-compliant. This roadmap is not an audit, a compliance certification or a completed implementation.